The 1978 Demonetization[6]

Despite the poor outcomes of the 1946 demonetization, the call to undertake another demonetization arose again in the mid-60s.

In 1965, facing demands by the opposition to curb black money and use demonetization as a tool to do so, the then finance minister, T.T. Krishnamachari, said in Parliament that 'Demonetization was neither feasible nor would produce results.' He felt that estimates of black money were hugely overinflated and what did exist had been converted to 'bonds, property and shares', all beyond the reach of demonetization.

In 1970, Ceylon conducted a radical demonetization of ₹100 and ₹50 notes. Their experience would have sounded eerily familiar to those who lived through India's 2016 note ban.

'Long unhappy queues snaked their way to the Kachcheri (district secretariat) clutching wads of old notes for exchange. Strangely enough no "bloated capitalists" were to be seen. Labourers, teachers, market vendors, butchers, bakers, joss-stick makers and housewives lined up for cash to buy their daily needs… The Kachcheri and Banks laboured mightily, well beyond office hours, before they wearily shut up shop till the next day. Bitter and frustrated latecomers left for home now clutching their worthless paper money which could buy them nothing.'[7]

Ignoring the outcomes being reported from Ceylon, the Opposition began to pressure the government, led by Prime Minister Indira Gandhi, to follow the Ceylonese example to counter black money. In response, she set up a commission on direct taxation under Justice Kailas Nath Wanchoo, to suggest measures 'to tackle black money and corruption'.

The committee's interim report in 1970 recommended demonetizing high-value banknotes. However, the final report, submitted in December 1971, said nothing further on this matter and acknowledged that: 'Demonetization was not successful then because